Public Debates on Monetary Policy

News and commentary on monetary policy would normally remain confined to the business pages of newspapers, and business TV channels. Occasionally, however, some issues spill over into the larger public space.

One such instance I recall centred on the changing dietary habits of low-income households. Reserve Bank research showed that one of the structural drivers of inflation in India has been the persistent rise in the prices of protein foods. This, in turn, was a consequence of rising rural incomes. We know from development economics that when low-income households experience an increase in their incomes, one of the first significant changes they effect is to shift their diet from carbohydrates to protein food, pushing up the prices of the latter. The Reserve Bank acknowledged this trend in its policy statements; and I also recall having made this point in a couple of speeches.

A member of Parliament took umbrage at the Reserve Bank pointing this out and charged me of looking upon the improvement in dietary habits of poor households as an unwelcome development which needed to be reversed to help contain inflation. It was a completely ill-informed and inappropriate value judgement. If anything, in the Reserve Bank we welcomed this development. Yes, it was a problem but, as I said before, a problem of success. What the situation warranted was a supply response by way of increased production of protein foods to meet the growing demand without stoking inflation. I refrained from joining issue on this for fear of giving currency to a debate that had no merit in the first instance.

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Another debate that wrong-footed me centred around a new normal for inflation. As part of the silver jubilee celebrations of the Indira Gandhi Institute for Development Research (IGIDR) in December 2012, there was a panel discussion on the outlook for growth and inflation. I moderated the discussion, which comprised former governors: C. Rangarajan, Bimal Jalan